6. Income Taxes

Because we have historically reported losses, we do not currently recognize the benefit of all of our deferred tax assets, including tax loss carry forwards that may be used to offset future taxable income. We will, however, continue to assess our ability to generate sufficient taxable income during future periods in which our deferred tax assets may be realized. When we believe that we will more likely than not realize the benefit of our deferred tax assets, we will record deferred tax assets as an income tax benefit in our consolidated statement of operations, which will affect our results of operations. As of December 31, 2009, our federal net operating loss carry forward was approximately $117,602. Our net operating loss carry forwards, which begin to expire in 2023 if unused, are subject to audit and adjustments by the Internal Revenue Service. Significant components of our deferred tax assets and liabilities as of December 31, 2009 and 2008, are as follows:

	2009	2008
Deferred tax assets:		
Continuing care contracts	$ 1,843	$ 2,240
Allowance for doubtful accounts	2,400	2,505
Deferred gains on sale lease back transactions	2,542	2,346
Insurance reserves	4,821	5,137
Tax credits	2,755	2,328
Tax loss carry forwards (including Sunrise Senior Living Services, Inc. termination expense)	47,382	66,671
Impairment of securities	4,623	3,734
Other	5,479	2,020
Total deferred tax asset before valuation allowance	71,845	86,981
Valuation allowance:	(65,231)	(85,332)
Total deferred tax assets	6,614	1,649
Deferred tax liabilities:		
Depreciable assets	(5,914)	(876)
Lease expense	(1,372)	(1,672)
Goodwill	379	729
Other	(193)	(198)
Total deferred tax liabilities	(7,100)	(2,017)
Net deferred tax liability	$ (486)	$ (368)

For the year ended December 31, 2009, we recognized tax expenses of $2,196, which includes tax expense of $1,578 for state taxes on operating income and state tax expense of $500 attributable to the gain on extinguishment of debt, each payable without regard to our tax loss carry forwards. Tax expense

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6. Income Taxes (Continued)

also includes $118 related to a non-cash deferred liability arising from the amortization of goodwill for tax purposes but not for book purposes.

The principal reasons for the difference between our effective tax (benefit) rate and the U.S. Federal statutory income tax (benefit) rate are as follows:

	For the years ended December 31,		
	2009	2008	2007
Taxes at statutory U.S. federal income tax rate	35.0%	(35.0)%	35.0%
State and local income taxes, net of federal tax benefit	8.6%	24.4%	7.7%
Impairment Charge	0.0%	26.3%	0.0%
Tax credits	(3.3)%	(7.9)%	(2.3)%
Alternative Minimum Tax	2.2%	0.0%	1.5%
Change in valuation allowance	(38.7)%	30.3%	(29.3)%
Other differences, net	1.6%	6.8%	(6.6)%
Effective tax rate	5.4%	44.9%	6.0%